Investor Update — 476 Montauk Highway

East Hampton, NY · Hildreth Real Estate Advisors · Issued: May 11, 2026

A NOTE FROM THE OPERATOR

476 Montauk Highway is a small, well-leased shopping center in East Hampton village — 5 commercial units totaling roughly **10,400 square feet**, with a stable, long-tenured mix of neighborhood retail tenants. The property is financed with a **Symetra Life Insurance interest-only mortgage** at $13,060/mo (~$2.4M estimated principal).

100% leased, with tenants including East Hampton Vacuum, Chen's Garden, Pacheo Deli, Beverage Shop, and Eastern Chateau. Lease terms run from 2026 through 2036 — a durable income stream with limited near-term rollover risk.

Two material rent step-ups effective 7/1/2026:

- **Chen's Garden** — new lease at **$8,500/mo + full NNN** (~$1,293/mo CAM continuing). Prior arrangement was CAM-only.
- **East Hampton Vacuum** — renewal at **$5,250/mo + full pro-rata NNN** ($1,112/mo, up from $635/mo). Base rent up from $3,895; CAM moves to full pro-rata share.

Combined, these two leases add roughly **$110K/yr to stabilized NOI** starting July, materially lifting the property's value. Once stabilized, the property should support a **valuation in the $4.3M – $4.9M range** based on current Long Island / Hamptons commercial retail cap rates.

— Jason

Hildreth Real Estate Advisors

The valuation reflected in the attached report is an internal management estimate based on stabilized NOI and prevailing market cap rates as of the date issued. Actual market value will depend on capitalization rates, lender environment, tenant performance, and broader economic conditions at the time of any sale or refinance — all of which can change. Numbers are illustrative, not an appraisal or offer.

1. Current Rent Roll (2026-05-11)

Unit	Tenant	SF	Base Rent	CAM	Loaded (Scheduled)	Billable Now	Lease End	Status
Store-1	East Hampton Vacuum	1,480	$5,250	$1,112	$6,362	$1,112	2026-07-30	Free Rent
Store-2	Chens Garden	1,720	$8,500	$1,293	$9,793	$1,293	2036-01-31	Free Rent
Store-3	Pacheo Deli	1,380	$3,816	$635	$4,451	$4,451	2032-06-30	Current
Store-4	Beverage Shop	4,000	$6,618	$1,269	$7,887	$7,887	2031-03-31	Current
Warehouse	Eastern Chateau	1,843	$4,250	—	$4,250	$4,250	2030-10-31	Current
Total — 5 of 5 units leased		**10,423 / 10,423**	**$28,434**	**$4,309**	**$32,743**	**$18,993**	**100.0% leased**	

Rent roll for 476 Montauk Highway, East Hampton. "Scheduled" = stabilized contractual base + CAM (post-7/1/2026 terms). "Billable Now" reflects current billing during the transition period. **New leases / renewals effective 7/1/2026:** Chen's Garden $8,500/mo + full NNN, East Hampton Vacuum $5,250/mo + full pro-rata NNN ($1,112/mo, up from $635 — moves to full share).
CAM allocation note: The Warehouse (Eastern Chateau) does not participate in the CAM pool per lease structure. The four storefronts (Store-1 through Store-4, 8,580 SF combined) carry 100% of recoverable CAM between themselves.

2. CapEx To Date

Modest capital spend since acquisition, focused on building improvements. No major renovation program has been undertaken at this property. Spend is derived directly from the General Ledger.

Project	Category	GL Account	Status	Spent
Building Improvements	Building Improvement	1860	Completed	$20,000
CapEx through P&L (9xxx)	Other	9xxx	Completed	$6,900
Total CapEx Spent To Date				**$26,900**

3. Remaining CapEx

No outstanding capital projects budgeted at this time. Future TI / LC reserves will be triggered by lease activity (e.g., Atelier and ETS Bagels renewals in pipeline).

4. Rent Roll — 1 Year Forward (May 2027)

Projected Monthly Loaded Rent (May 2027): $32,743 vs. $18,993 billable today (**+$13,750/mo**)

Unit	Tenant	SF	Base Rent	CAM	Loaded	Status
Store-1	East Hampton Vacuum	1,480	$5,250	$1,112	$6,362	holdover
Store-2	Chens Garden	1,720	$8,500	$1,293	$9,793	occupied
Store-3	Pacheo Deli	1,380	$3,816	$635	$4,451	occupied
Store-4	Beverage Shop	4,000	$6,618	$1,269	$7,887	occupied
Warehouse	Eastern Chateau	1,843	$4,250	—	$4,250	occupied
Forward Total — 5 of 5 units leased		**10,423 / 10,423**			**$32,743**	**100.0% leased**

5. Proforma — Fully Occupied (Stabilized)

Assumes every unit is leased at its stabilized contract rent (or, for vacant units, at the in-flight prospect rent). No free-rent or half-rent discounts.

Unit	Tenant	SF	Stabilized Rent	CAM	Loaded	Source
Store-1	East Hampton Vacuum	1,480	$5,250	$1,112	$6,362	
Store-2	Chens Garden	1,720	$8,500	$1,293	$9,793	
Store-3	Pacheo Deli	1,380	$3,816	$635	$4,451	
Store-4	Beverage Shop	4,000	$6,618	$1,269	$7,887	
Warehouse	Eastern Chateau	1,843	$4,250	—	$4,250	
Stabilized Total		**10,423**	**$28,434**	**$4,309**	**$32,743**	

Stabilized NOI

Stabilized Revenue	$374,074
Stabilized Operating Expenses	($47,329)
Stabilized NOI	**$326,745**

Valuation Range

Cap Rate	Valuation	Per SF
6.5% (Low Cap → High Value)	$5,445,747	$522
7.0% (Mid)	**$5,026,843**	**$482**
7.5% (High Cap → Low Value)	$4,667,783	$448

Total Equity Invested To Date

Sources of Funds	
Total Equity Contributed (operator-confirmed partner capital)	$2,294,011
1st Mortgage — Symetra Life Insurance (estimated principal)	$2,410,000
Total Sources of Funds (≈ All-In Basis)	**$4,704,011**

Uses of Funds (per GL — basis breakdown)	
Land	$588,750
Buildings	$3,336,250
Due Diligence	$54,828
CapEx Invested Since Acquisition	$26,900

Note: "Total Equity Contributed" reflects the operator-confirmed sum of partner capital contributions as of issuance date. Acquisition-era closing costs and certain contributions were cross-booked between GL accounts 1703 and 3000 at purchase; the figure above ties to the partner capital accounts directly. Reconciliation of the 1703 closing-cost account is an open accounting item — see Section 7.

Implied Equity & Return on Investment

Valuation @ 7.0% (Mid)	$5,026,843
Less: 1st Mortgage Principal	($2,410,000)
Implied Equity Value (Today)	**$2,616,843**
Cash Distributions Paid To Investors (To Date)	—
Less: Total Equity Invested To Date	($2,294,011)
Total Equity at Stabilization	**$2,294,011**
Unrealized Gain + Distributions vs. All-In	**$322,832**
Equity Multiple at Stabilization (Mid)	**1.14x**

No cash distributions have been paid to investors to date.

Multiple Calculations (PE/RE Standard Metrics)

Multiple	Value	Definition
DPI — Distributions / Paid-In	**0.00x**	Cash already returned to investors per $1 contributed
RVPI — Residual Value / Paid-In	**1.14x**	Unrealized equity value per $1 contributed
TVPI (MOIC) — Total Value / Paid-In	**1.14x**	**Total value (distributions + residual) per $1 contributed**

Cap rate range reflects current Long Island commercial retail market (6.5% – 7.5%). Lower cap rate = higher valuation. Stabilized opex excludes $48,312 of one-time addbacks where applicable.

6. T-12 Cash Flow Statement (Apr 2025 – Mar 2026)

Month	Revenue	Operating Expenses	NOI	CapEx	Debt Service	Net Cash Flow
Apr 2025	—	($25)	$-25	(—)	(—)	$-25
May 2025	—	(—)	—	(—)	(—)	—
Jun 2025	—	($85)	$-85	(—)	(—)	$-85
Jul 2025	$15,343	($11,753)	$3,590	(—)	($9,924)	$-6,334
Aug 2025	$19,544	($9,935)	$9,609	($6,900)	(—)	$2,709
Sep 2025	$22,848	($2,144)	$20,705	(—)	(—)	$20,705
Oct 2025	$23,336	($33,471)	$-10,136	(—)	(—)	$-10,136
Nov 2025	$18,227	($3,639)	$14,588	(—)	($26,140)	$-11,552
Dec 2025	$7,387	($15,342)	$-7,955	(—)	($13,060)	$-21,015
Jan 2026	$21,362	($1,616)	$19,746	(—)	($13,060)	$6,686
Feb 2026	$21,387	($6,001)	$15,386	(—)	($13,060)	$2,326
Mar 2026	$16,293	($5,402)	$10,891	(—)	($13,060)	$-2,169
T-12 Total	**$165,727**	**($89,414)**	**$76,314**	**($6,900)**	**($88,304)**	**$-18,890**

Cash-basis as recorded in the General Ledger. **Revenue** includes base rent + CAM + reimbursements. **Net Cash Flow** = NOI – CapEx – Debt Service and represents cash available to investors before distributions / reserves.

7. 90-Day Action Plan

Item	Action	Target Date	Owner
Chen's Garden — new lease execution	Finalize and execute new $8,500/mo + full NNN lease (~$1,293/mo CAM). Confirm lease term, escalators, and any TI/LC. Update AppFolio so July rent posts at new amount.	7/1/2026	Jason
East Hampton Vacuum — renewal execution	Finalize and execute renewal at $5,250/mo + full pro-rata NNN ($1,112/mo, up from $635). Confirm CAM rate basis and roll into AppFolio for July billing.	7/1/2026	Jason
Confirm Symetra mortgage terms	Pull loan documents to confirm: (1) actual principal balance (currently estimated at ~$2.4M based on $13,060/mo interest-only payments), (2) interest rate, (3) maturity date, (4) prepayment penalty / yield-maintenance schedule. Reconcile principal balance back to GL.	6/15/2026	Jason / Accountant
Fix GL — mortgage principal account	Mortgage principal account (2110) currently has no entries on the operating property. Have accountant book opening balance and any historical principal activity, or confirm if the principal is properly held at the parent shell entity (Property ID 185).	6/30/2026	Accountant
NNN reconciliation for all tenants	Year-end NNN reconciliation for 2025 and projection for 2026. Confirm that the 4 storefronts (8,580 SF combined) carry 100% of recoverable CAM as designed, with Warehouse (Eastern Chateau) excluded per lease. Send recovery / true-up bills as applicable.	7/31/2026	Property Manager
Pacheo Deli — pursue rent reset to $5,750 + full NNN	Current lease: $3,816/mo base + $635 CAM (1,380 SF). **Target new terms: $5,750/mo + full pro-rata NNN (~$1,037/mo).** Combined uplift of +$2,336/mo (+$28K/yr) — adds ~$430K of stabilized valuation at the 6.5% mid cap (lifting mid value to ~$5.46M and equity multiple to ~1.33x). Begin negotiations now ahead of lease expiry (6/30/2032) — early renewal discussion gives leverage for the rate reset.	Initiate by 7/31/2026	Jason
Beverage Shop CAM repricing (future renewal)	Currently billing $1,269/mo CAM on 4,000 SF ($3.81/SF/yr — well below pro-rata). At next renewal, move to full pro-rata (~$3,007/mo at $9.02/SF/yr). Lease expires 3/31/2031 — track for forward planning.	Future renewal	Jason
Evaluate cash distribution timing	With the new leases starting 7/1, monthly cash flow steps up materially. Determine whether to initiate quarterly investor distributions starting Q4 2026 once new rents are billing and collected. Coordinate with debt service obligations.	9/30/2026	Jason